as 36.6 per cent of India's total imports of $450.2 billion. To India's good fortune, oil and petroleum prices started declining from 2014–15. Prices of petroleum products bottomed in 2015–16 and India's import bill declined to $82.9 billion, which was nearly 50 per cent of petroleum products import bill in 2013–2014. Foreign exchange spent on import of petroleum products went up thereafter every year: to $87 billion in 2016–17, $108.7 billion in 2017–18 and $140.9 billion in 2018–19, before declining to $130.5 billion in 2019–20. In 2019–20, the import cost of petroleum products was still lower by $34.3 billion compared to 2013–14.

There were nine products/product groups—coal ($16.4 billion); organic and inorganic chemicals ($17.4 billion); artificial resins and plastic material ($10.5 billion); pearls, precious and semi-precious stones ($24 billion); iron and steel ($12.7 billion); machinery–electricals and non-electricals ($27.1 billion); transport equipment ($19.3 billion); electronic goods ($32.4 billion) and gold ($28.7 billion)— that cost more than $10 billion in imports each in 2013–14. In aggregate, the import bill of these nine items was $188.5 billion. In aggregate, these nine items cost $240.4 billion in 2019–20, an increase of $51.5 billion over the import cost in 2013–14.

The government has taken several initiatives to increase manufacturing in India, especially in electronics. Yet, imports have continued to rise. Import of electronic items in 2019–20 were to the tune of $52.5 billion, increasing by $20.1 billion or 62 per cent during this period. India continues to be overly dependent on electronic items from the rest of the world. The next largest increase in absolute amount is seen in the case of plant and machinery ($12.4 billion; 46 per cent), again indicating India's dependence on the world for capital goods.

A Serious Goods Trade Deficit Problem

India has recorded a trade deficit (excess of imports over exports) in every one of the past forty years. The largest trade deficit of $184 billion was